

Executive Engineer, Dakshinanchal Vidyut Vitaran Nigam Ltd. & Another v. State of U.P. & Another

High Court of Judicature at Allahabad · Single Judge · 4 July 2022 · Writ-C No. 15897 of 2022 · **Writ petition dismissed, with no order as to costs. The licensee-Distribution Corporation's challenge to the award of the Permanent Lok Adalat, Kasganj dated 17.01.2022 (in a consumer's dispute) and to the constitutional validity of Section 22-A(b)(iii) of the Legal Services Authorities Act, 1987 failed. The Court held that the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 do not oust the Permanent Lok Adalat's jurisdiction over an electricity public-utility dispute, that there is no constitutional invalidity in two remedies coexisting, that Section 185 of the Electricity Act does not override the LSA Act, and that a Permanent Lok Adalat validly assumes adjudicatory jurisdiction once its proposed terms of settlement are rejected — which had occurred here.**

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HEADNOTE

A licensee's constitutional and jurisdictional challenge to a Permanent Lok Adalat award in an electricity dispute, dismissed. The Distribution Corporation (Dakshinanchal Vidyut Vitaran Nigam Ltd.) filed a writ assailing (i) an award of the Permanent Lok Adalat, Kasganj dated 17.01.2022 in a consumer's dispute, and (ii) the constitutional validity of Section 22-A(b)(iii) of the Legal Services Authorities Act, 1987. Its argument was that the Electricity Act, 2003 read with the U.P. Electricity Supply Code, 2005 (Section 135 of the Act and Clause 6.5 of the Code) constitute a special law providing the only remedy against an assessment or demand, so no parallel remedy could lie before a Permanent Lok Adalat, and that Section 185 of the Act, being a later Act, overrode the impugned Act. The Single Judge rejected the challenge. There is no inherent constitutional invalidity in two remedies being provided; the only question that can arise is which remedy is availed first and whether one debars the other, and that did not arise here — no prior proceeding under the Act or Code having been instituted, the claim before the Permanent Lok Adalat was competent and maintainable under Section 22-C(1). Section 22-C provides primarily a conciliation remedy which cannot be equated with adjudication, and the vires of the Chapter VI-A provisions had already been upheld in *Bar Council of India v. Union of India*, (2012) 8 SCC 243. Section 185 of the Act only repeals the Indian Electricity Act 1910, the Electricity (Supply) Act 1948 and the Electricity Regulatory Commissions Act, with a limited saving clause, and no action having been taken under the repealed Acts, the override argument was devoid of merit. A Permanent Lok Adalat is governed exclusively by Chapter VI-A; Section 20 (regular Lok Adalats) is inapplicable; and, following *Canara Bank v. G.S. Jayarama*, 2022 SCC OnLine SC 656, its adjudicatory function arises precisely upon rejection of the written terms of settlement — which the petitioners had rejected while the consumer accepted them — so no procedural defect vitiated the award. The merits of the award were not in issue.

FACTUAL SUMMARY

The petitioners, the Executive Engineer of Dakshinanchal Vidyut Vitaran Nigam Ltd. and another (the licensee Distribution Corporation), filed a writ petition arising from an award of the Permanent Lok Adalat, Kasganj dated 17.01.2022 passed in Case No.46 of 2021 (*Smt. Pinki Yadav v. Executive Engineer, Electricity Distribution Division, Urban, Prabhu Park, Kasganj & Another*). Besides assailing the award, the petitioners challenged the constitutional validity of Section 22-A(b)(iii) of the Legal Services Authorities Act, 1987. Only the validity and jurisdiction issues were argued; the merits giving rise to the award were not questioned. The petitioners contended that the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 read together are the special law governing all challenges to an assessment order or demand, that (referring to Section 135 of the Act and Clause 6.5 of the Code) the consumer's only remedy was to file objections or an appeal, so no parallel remedy could lie before a Permanent Lok Adalat, and that Section 185 of the Act, being a later Act, overrode Section 22-A(b)(iii) read with Section 22-C of the impugned Act. They further submitted, on Section 20(1)(i)(a) and Section 22-D, that since the terms of compromise proposed by the Permanent Lok Adalat on 19.11.2021 had been rejected by them, no agreement was reached and the Permanent Lok Adalat had no jurisdiction to adjudicate. The State was represented by the Standing Counsel. The matter was heard and decided by a Single Judge (Hon'ble Saumitra Dayal Singh, J.), who dismissed the petition on 4.7.2022.

REUSABLE CONSTRUCTIONS

1. The Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 do not, by providing a special-law remedy (Section 135 of the Act / Clause 6.5 of the Code) to challenge an assessment or demand, oust the jurisdiction of a

Permanent Lok Adalat over an electricity public-utility dispute; there is no constitutional bar to two remedies coexisting, and where no prior proceeding under the Act or Code has been instituted, a claim before the Permanent Lok Adalat under Section 22-C(1) of the Legal Services Authorities Act, 1987 is competent and maintainable. ¶ 9-11

2. Section 185 of the Electricity Act, 2003 repeals only the Indian Electricity Act 1910, the Electricity (Supply) Act 1948 and the Electricity Regulatory Commissions Act, and its sub-section (2) is only a limited saving clause; it does not, as a 'later Act', override the Legal Services Authorities Act, 1987 where no action has been taken under the repealed enactments. ¶ 12

3. A Permanent Lok Adalat (Chapter VI-A of the LSA Act) is governed exclusively by Sections 22-A to 22-E, and Section 20 (regular Lok Adalats) is inapplicable to it; its adjudicatory jurisdiction is not defeated by a party's refusal of the proposed settlement — the rejection of the written terms of settlement is precisely what triggers its power to decide the dispute on merits (following *Canara Bank v. G.S. Jayarama*). ¶ 8, 13-15

HOLDING-UNITS

INTERPLAY · UP-2005::6.5

RATIO

The Electricity Act / Supply Code special-law remedy does not oust a Permanent Lok Adalat's jurisdiction over an electricity public-utility dispute; two remedies may coexist

QUESTION

Does the special-law remedy under the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 (Section 135 of the Act / Clause 6.5 of the Code) oust, or render unconstitutional, the jurisdiction of a Permanent Lok Adalat over an electricity dispute?

HOLDING

No. There is no inherent constitutional invalidity in two remedies being provided by law; the only issue that can arise is which remedy may be availed first and whether availing one debars the other, and that issue did not exist here. Under Section 22-C(1) of the Legal Services Authorities Act, 1987, since no prior proceeding had been instituted by the consumer under the Electricity Act or the Supply Code, the claim before the Permanent Lok Adalat was competent and maintainable. Section 22-C is primarily a conciliation remedy that cannot be equated with adjudication, and the vires of the Chapter VI-A provisions had already been upheld by the Supreme Court in *Bar Council of India v. Union of India*.

¶ 9-11

EVIDENCE “there is no inherent constitutional invalidity in two remedies being provided by the law.” ¶ 9

EVIDENCE “Since no prior proceeding was instituted by the private respondent with respect to the matter brought by him before the Permanent Lok Adalat, either under the Act or the Code elsewhere, the claim filed before the Permanent Lok Adalat was competent and maintainable.” ¶ 9

FLAG Paragraph-numbered judgment (pin_basis=paragraph). The petitioner invoked Section 135 of the Electricity Act and Clause 6.5 of the Code together as the 'special law'; the operative maintainability provision is Section 22-C(1) of the LSA Act.

INTERPLAY · EA2003::185

RATIO

Section 185 of the Electricity Act, 2003 does not, as a later Act, override the Legal Services Authorities Act, 1987

QUESTION

Does Section 185 of the Electricity Act, 2003, being a later Act, override Section 22-A(b)(iii) read with Section 22-C of the Legal Services Authorities Act, 1987?

HOLDING

No. Section 185 only repeals the Indian Electricity Act, 1910, the Electricity (Supply) Act, 1948 and the Electricity Regulatory Commissions Act, and its sub-section (2) contains only a limited saving clause applicable in certain circumstances. Since no action had been taken under any of the repealed Acts, the argument that Section 185 overrides the impugned Act is devoid of merit. ¶ 12

EVIDENCE “That provision only seeks to repeal the Indian Electricity Act, 1910, the Electricity (Supply) Act 1948, and the Electricity Regulatory Commissions Act, 1988.” ¶ 12

EVIDENCE “Since, no action had been taken under any of the repealed Acts, (noted above), the argument based on reading of Section 185 of the Act is also devoid of merit.” ¶ 12

FLAG The judgment refers to the repealed 'Electricity Regulatory Commissions Act, 1988' (the enactment is of 1998); quote reproduced verbatim as in the source.

INTERPLAY · LSAA1987::22-C

RATIO

A Permanent Lok Adalat is governed exclusively by Chapter VI-A; its adjudicatory jurisdiction is triggered by, not defeated by, rejection of the proposed settlement

QUESTION

Where a party rejects the terms of settlement proposed by a Permanent Lok Adalat, does the Permanent Lok Adalat lose the jurisdiction to adjudicate the dispute (as it would under Section 20, for a regular Lok Adalat)?

HOLDING

No. The constitution, jurisdiction and procedure of a Permanent Lok Adalat are governed exclusively by Chapter VI-A of the LSA Act; Section 20, which applies only to regular Lok Adalats, is inapplicable. Following *Canara Bank v. G.S. Jayarama*, conciliation under Section 22-C is mandatory, and a Permanent Lok Adalat assumes its adjudicatory function precisely upon the rejection of the written terms of settlement it offers to the parties. Here the petitioners rejected, and the consumer accepted, the proposed terms; adjudication had therefore validly arisen, and no procedural defect vitiated the award. ¶ 8, 13-17

EVIDENCE “The constitution of the Permanent Lok Adalat, its jurisdiction and procedure are governed exclusively by the provisions contained in Chapter VI-A of the impugned Act.” ¶ 8

EVIDENCE “They apply to regular Lok Adalats only.” ¶ 8

EVIDENCE “only in the event of settlement being not reached i.e. upon rejection of the written terms of settlement offered by the Permanent Lok Adalat, by one or the other party, the Permanent Lok Adalat may assume adjudicatory function and enter adjudication.” ¶ 15

FLAG Off the electricity supply statutes: this holding construes the Legal Services Authorities Act, 1987 (LSAA1987 key, as in SCJ-159). Paragraph 17's finding of no procedural defect was made 'only to complete the discussion', no specific objection having been pressed.

PRINCIPLE TAGS

permanent-lok-adalat-jurisdiction-over-public-utility-electricity-grievance The Electricity Act, 2003 / Supply Code, 2005 special-law remedy (Section 135 / Clause 6.5) does not oust a Permanent Lok Adalat's jurisdiction over an electricity public-utility dispute; the consumer's claim was competent and maintainable under Section 22-C(1) as no prior Act/Code proceeding had been instituted. Lead authorities: *Bar Council of India v. Union of India*, *Canara Bank v. G.S. Jayarama*. ¶ 8-11

later-electricity-act-does-not-override-legal-services-authorities-act Section 185 of the Electricity Act, 2003 only repeals the 1910/1948/ERC enactments and contains a limited saving clause; being a later Act it does not override the Legal Services Authorities Act, 1987 where no action was taken under the repealed Acts. ¶ 12

permanent-lok-adalat-adjudicates-on-rejection-of-settlement A Permanent Lok Adalat's adjudicatory jurisdiction is not defeated by a party's refusal of the proposed settlement; rejection of the written terms of settlement is what triggers its power to decide the dispute on merits, following *Canara Bank v. G.S. Jayarama*. Lead authorities: *Canara Bank v. G.S. Jayarama*. ¶ 13-16

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE MERITS OF THE PERMANENT LOK ADALAT'S AWARD DATED 17.01.2022 (THE CORRECTNESS OF THE UNDERLYING DEMAND/DISPUTE)

Only the validity and jurisdiction issues were argued; 'Merit issues giving rise to the award have not been questioned.' ¶ 3

NOT DECIDED — ANY PROCEDURAL DEFECT IN THE PERMANENT LOK ADALAT'S ADJUDICATORY PROCEEDINGS

The Court found no procedural defect but recorded that the observation 'has been made only to complete the discussion, though no specific objection has been pressed in that regard.' ¶ 17

RELATED CASES — SEE ALSO

SCJ-2072 — Companion outcome: a licensee's writ against a Permanent Lok Adalat award in a public-utility electricity grievance dismissed, the PLA's jurisdiction upheld.

SCJ-2075 — Writ by the licensee dismissed and the Permanent Lok Adalat award (bill computation) left undisturbed — same result on PLA competence over a billing dispute.

SCJ-249 — Contrast: PLA jurisdiction exists, but its award was set aside because it directed action contrary to the Supply Code — the limit on the PLA's award, not on its jurisdiction.

SCJ-159 — Contrast on subject-matter: a PLA award quashed for adjudicating a theft (Section 135) offence, which lies outside its jurisdiction (Section 22-C(8) proviso) — whereas the present billing dispute was within its competence. Source of the LSAA1987 provision key.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Bar Council of India v. Union of India</i> (2012) 8 SCC 243 Supreme Court of India	The vires of the Chapter VI-A provisions of the Legal Services Authorities Act, 1987 (constituting Permanent Lok Adalats) were upheld.	Relied on ¶ 7	Court	Relied on
<i>Canara Bank v. G.S. Jayarama</i> 2022 SCC OnLine SC 656 Supreme Court of India	A Permanent Lok Adalat's powers are wider than a Lok Adalat's; conciliation proceedings under Section 22-C are mandatory; and it may decide a dispute on merits (so long as the dispute does not relate to an offence) only after the proposed terms of settlement are not agreed to or are rejected.	Followed ¶ 14-15	Court	Followed